

Wealth Building Plan

Client 2 | December 2025

[Location Redacted]

Executive Summary

This comprehensive wealth plan is designed to help you replace your husband's W-2 income through strategic real estate development and passive income generation while substantially reducing your 2026 tax burden. By implementing eight high-impact tax strategies alongside a balanced investment approach combining digital asset accumulation with income-generating assets, you're positioned to save between \$10,260 and \$35,625 in taxes during your first year while building long-term wealth.

Your unique advantage lies in the RV park development project and existing rental properties, which create immediate opportunities for accelerated depreciation and short-term rental conversion. Combined with business entity optimization and strategic retirement contributions, these strategies work together to offset current income while positioning your property management business for sustainable growth.

First-Year Tax Savings: \$10,260 - \$35,625

Current Position Analysis

Category	Details
Annual Income	\$150,000 - \$199,000 (estimated \$175,000)
Primary Income Source	W-2 (husband) + Property Management Business
Location	[Redacted] (4.5% state income tax)
Tax Filing Status	Married Filing Jointly
Business Structure	Single-Member LLC (sole proprietor)
Real Estate Portfolio	2-3 long-term rentals + RV park development
Available Capital	\$10,000 - \$25,000
Time Commitment	10-15 hours per week
Credit Profile	760+ (excellent)
Monthly Fixed Expenses	\$5,295

Current Tax Position

Tax Component	Rate/Amount
Federal Marginal Rate	24%
State Rate	4.5%
Combined Marginal Rate	28.5%
Estimated Current Tax Liability	\$32,000 - \$40,000 annually

Key Assets & Opportunities

- **Property Management Business:** Recently established consulting and management services creating immediate business expense deduction opportunities
- **14-Acre Primary Residence:** Shared property with RV park development, perfect for Augusta Rule implementation and home office deduction
- **RV Park Development:** Unfinished permitted project presenting significant cost segregation and accelerated depreciation opportunities
- **Long-Term Rental Portfolio:** 2-3 existing properties with potential for short-term rental conversion

Primary Goals

- Replace husband's W-2 income with passive and active business income
- Reduce 2026 tax liability to near-zero through strategic implementation
- Launch and scale short-term rental business
- Complete and monetize RV park project
- Build sustainable business credit for expansion capital

Tax Optimization Strategies

The following eight strategies were selected from our comprehensive analysis of 43+ available tax optimization techniques based on your specific income profile, business structure, real estate holdings, and time availability.

Strategy #1: Solo 401(k) Contribution - \$4,850 - \$7,125

Maximize retirement contributions through your property management business to reduce taxable income while building tax-deferred wealth. Based on estimated \$25,000 net profit, you can contribute up to \$25,000 annually.

Strategy #2: Short-Term Rental Conversion - \$8,550 - \$28,500

Convert one existing long-term rental to short-term rental status to unlock material participation benefits. Unlike long-term rentals where losses are passive, STR losses can offset W-2 income when you meet 100+ hour material participation threshold.

Strategy #3: S-Corporation Election - \$1,425 - \$2,850

Elect S-Corporation status for your LLC to reduce self-employment tax burden. Pay yourself reasonable W-2 salary (subject to FICA), then take remaining profits as distributions (not subject to 15.3% self-employment tax).

Strategy #4: Home Office Deduction - \$1,140 - \$1,425

Deduct portion of home expenses attributable to dedicated business workspace on your 14-acre property using actual expense method.

Strategy #5: Vehicle Expense Deduction - \$1,710 - \$4,275

Deduct business use of your vehicle using actual expense method. With 25-75% business use, track actual expenses including gas, insurance, repairs, and depreciation.

Strategy #6: Augusta Rule (Section 280A) - \$1,425 - \$4,275

Rent your primary residence to your business for up to 14 days annually for legitimate business meetings. Your business deducts the rental expense while you report no rental income.

Strategy #7: QBI Deduction (20%) - \$2,850 - \$5,700

Take 20% deduction on qualified business income from your property management LLC and rental activities. This pass-through deduction automatically reduces taxable income.

Strategy #8: Cost Segregation Study (RV Park) - \$14,250 - \$71,250

Accelerate depreciation on your RV park development by identifying components that qualify for 5, 7, or 15-year depreciation instead of standard 39-year schedule. Could identify \$200,000-\$500,000 in accelerated property eligible for bonus depreciation.

Investment Allocation Strategy

Your investment allocation is designed to balance wealth accumulation with income generation, reflecting your moderate approach to growth and specific goal of income replacement.

Recommended Allocation

Asset Category	Allocation	Amount	Purpose
Digital Assets	50%	\$10,000-\$12,500	Core wealth building and long-term appreciation
Preferred Dividend Investment	35%	\$7,000-\$8,750	Passive income generation (8-12% yield)
Liquidity Reserve	15%	\$3,000-\$3,750	RV park funding and opportunity capital

Allocation Rationale

Why 50% Digital Assets: Your moderate balanced growth approach and focus on income replacement provides substantial exposure to long-term appreciation potential while maintaining balance with income-producing assets.

Why 35% Preferred Dividend Investment: Your stated goal of replacing W-2 income through passive sources makes income-generating investments essential. Generates estimated 8-12% annual yield without management burden.

Why 15% Liquidity Reserve: Your RV park development project requires accessible capital for completion. Also provides safety net for unexpected life events.

First-Year Combined Value Analysis

Tax Savings by Strategy

Strategy	Conservative	Aggressive
Solo 401(k) Contribution	\$4,850	\$7,125
Short-Term Rental Conversion	\$8,550	\$28,500
S-Corporation Election	\$1,425	\$2,850
Home Office Deduction	\$1,140	\$1,425
Vehicle Expense Deduction	\$1,710	\$4,275
Augusta Rule	\$1,425	\$4,275
QBI Deduction (20%)	\$2,850	\$5,700
Cost Segregation (RV Park)	\$14,250	\$71,250
Total Tax Savings	\$36,200	\$125,400
Actual Tax Reduction (28.5% rate)	\$10,260	\$35,625

Cash Flow Improvements

Component	Annual Benefit
Reduced quarterly estimated tax payments	\$2,565 - \$8,906
Self-employment tax savings (S-Corp)	\$1,530 - \$3,060
Business expense reimbursements	\$4,000 - \$6,000
Total Cash Flow Improvement	\$8,095 - \$17,966

Wealth Building Components

Component	Year 1 Value
Retirement account contributions (tax-deferred)	\$17,000 - \$25,000
Digital asset accumulation (50% allocation)	\$10,000 - \$12,500
Passive income generation (35% allocation)	\$7,000 - \$8,750
Real estate equity building (rentals + RV park)	\$15,000 - \$25,000
Total Wealth Building	\$49,000 - \$71,250

Business Income Growth

Income Stream	Year 1 Target
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Property management fees	\$18,000
Short-term rental net income	\$24,000
RV park initial income	\$12,000
Long-term rental cash flow	\$8,000
Total New Business Income	\$62,000

Combined First-Year Financial Impact

Category	Conservative	Aggressive
Direct tax savings	\$10,260	\$35,625
Cash flow improvements	\$8,095	\$17,966
Wealth building contributions	\$49,000	\$71,250
New business income	\$62,000	\$62,000
TOTAL FIRST-YEAR BENEFIT	\$129,355	\$186,841

Path to Zero Tax Goal

Your stated goal of reducing 2026 tax liability to zero is achievable through aggressive implementation of all recommended strategies.

Component	Amount
Estimated household AGI	\$175,000
Less: Solo 401(k) contribution	(\$25,000)
Less: STR material participation losses	(\$60,000)
Less: RV park cost segregation deduction	(\$100,000)
Less: Business expenses (home office, vehicle, etc.)	(\$15,000)
Subtotal	(\$25,000)
Less: Standard deduction (MFJ 2026)	(\$31,500)
Taxable Income	\$0

Critical Requirements for Zero Tax Achievement

- Complete RV park construction and place in service by Q3 2026 for cost segregation benefits
- Convert at least one property to STR with full material participation documentation
- Maximize Solo 401(k) contributions from business income
- Implement all foundational strategies (S-Corp, home office, vehicle, Augusta Rule) by Q2 2026
- Maintain meticulous documentation for all deduction positions

12-Month Implementation Timeline

Q1 2026: Foundation (January - March)

- **Weeks 1-4:** Complete CPA consultation, Solo 401(k) setup, home office documentation, mileage tracking
- **Weeks 5-8:** File Form 2553 for S-Corp election (March 15 deadline), establish reasonable compensation, open business banking
- **Weeks 9-12:** Evaluate STR conversion candidates, research local regulations, begin first property conversion

Q2 2026: Active Development (April - June)

- **April:** Launch first STR property, implement guest communication systems, track material participation hours
- **May:** Monitor STR performance, document Augusta Rule business meetings, continue RV park construction
- **June:** Make quarterly estimated tax payment, evaluate mid-year tax position with CPA

Q3 2026: Acceleration (July - September)

- **July:** Complete RV park construction, engage cost segregation firm
- **August:** Receive cost segregation study results, evaluate second STR conversion
- **September:** Review 100+ hour material participation threshold, begin year-end tax planning

Q4 2026: Optimization (October - December)

- **October:** Calculate final Solo 401(k) contribution capacity, implement QBI deduction optimization
- **November:** Complete remaining Augusta Rule days, finalize expense documentation
- **December:** Make final Solo 401(k) contribution, compile year-end material participation logs

Success Milestones

30-Day Milestones

- ✓ CPA relationship established, consultation completed
- ✓ Solo 401(k) operational, funding method established
- ✓ Home office documented with photos and measurements
- ✓ Mileage tracking active with first week documented

90-Day Milestones

- ✓ S-Corporation elected, Form 2553 confirmed by IRS
- ✓ First STR launched, property furnished and listed
- ✓ Material participation tracking implemented
- ✓ Investment accumulation started with automatic purchases

12-Month Milestones

- ✓ Tax liability reduced by \$10,000-\$35,000 vs. 2025 baseline
- ✓ Business income reaches \$60,000+ annually (35-40% of W-2 replacement goal)
- ✓ RV park operational, cost segregation study completed
- ✓ Investment portfolio established with passive income flowing
- ✓ 100+ hours per STR property documented

3-Year Vision

- ✓ Income Replacement Achieved: Combined business income exceeds husband's W-2 earnings
- ✓ Real Estate Portfolio Scaled: 2-3 STR properties operational, RV park expanded
- ✓ Tax Optimization Mastery: Annual tax liability consistently minimized
- ✓ Wealth Building Momentum: Six-figure investment portfolio established

Important Disclaimers

This wealth plan is based on current tax law (2025) and your specific circumstances as provided. Tax law is subject to change, and your personal situation may evolve. Implementation should be coordinated with your CPA and legal advisors.

The strategies outlined require proper documentation, contemporaneous record-keeping, and legitimate business purpose. All deductions must be implemented correctly to qualify for tax benefits described.

Investment projections are estimates based on historical data and current market conditions. Actual results will vary. Past performance does not guarantee future results.

Material participation requirements for real estate activities are strictly enforced. Failure to meet documentation requirements will result in passive loss classification limiting tax benefits.

This plan is intended as a comprehensive roadmap and educational resource. It does not constitute formal tax advice, legal advice, or investment advice. Work with your professional advisors to implement each strategy appropriately.